TAX PLANNING & COMPLIANCE

Suggested Answers
July-August 2022

Answer to the Question# 1(a):

For the AY 2021-2022, the government extended deadline for submission of return of income to 31 December 2021. As per section 75 (6) of the ITO, 1984, the last date for the submission of a return for a person may be extended by the DCT upon the application by the person in the prescribed form. However, the DCT may extend the date up to two months from the date so specified and he may further extend the date up to two months with the approval of the Inspecting Joint Commissioner. Mr Y did not make any such application. As per section 77 (1) of the ITO, 1984, the DCT may, at any time after expiry of the date specified in section 75, by a notice in writing, require –

(a) any person, other than a company, to file a return of his total income as provided in that section if, in the opinion of the DCT the total income of such person was, during the income year, of such amount as to render liable to tax;
(b) any company to file a return of its total income, if it is not filed.

Section 78 of the ITO, 1984, provides that any person who has not filed a return as required by section 75 or 77 or who, having filed return, discovers any omission or incorrect statement therein, may, without prejudice to any liability which he may have incurred on this account, file a return or a revised return, as the case may be, at any time before the assessment is made.

According to section 93 (1), if, based on the information from an audit, assessment or any other proceeding under the ITO, 1984, or from any other source, the DCT has reason to believe that any sum payable by an assessee under the ITO, 1984, has escaped payment in any assessment year, the DCT may issue a notice in the form specified by NBR upon the assessee requiring him to file for the relevant assessment year, within the time as specified in the notice, a return of his income along with the applicable statement and documents. As per section 93 (4), a notice under 93 (1) may be issued by the DCT-

(a) at any time where, for the relevant assessment year, no return was filed and no assessment was made;
(b) within 6 years from the end of the relevant assessment year where, for the relevant assessment year, no return was filed but assessment is completed;
(c) within 6 years from the end of the relevant assessment year in any other cases.

In section 93, any sum payable by an assessee under the ITO, 1984, shall be deemed to have escaped payment if –

(i) the income or a part thereof has escaped assessment; or
(ii) the income has been understated; or
(iii) excessive loss, deduction, allowance or relief in the return has been claimed; or
(iv) the liability of tax or any other amount payable under the ITO, 1984, has been shown or computed lower by concealment or misreporting of any income or by concealment or misreporting of any assets, expenditure or any other particulars in a statement submitted under section 80; or
(v) income chargeable to tax has been under-assessed, or income has been assessed at a lower than due tax rate; or
(vi) income that is subject to tax has been made the subject of tax exemption; or
(vii) income has been made the subject of excessive relief, or excessive loss or depreciation allowance or any other allowance under the ITO, 1984, has been computed; or
(viii) a tax or an amount, payable under the ITO, 1984, has been computed or paid lower than due amount by reason of lower base.

Furthermore, "relevant assessment year" is the assessment year for which any sum payable by an assessee under the ITO, 1984, has escaped payment. It is notable that all of the events are happened or identified either after making assessment or expiry of the assessment year.

Provisions of section 77 were not followed before issuance of notice under section 93 of the ITO, 1984, and the assessment year had not passed when the said notice was issued by the DCT. Assessment for an assessment year is required to be made within 6 months from the end of the assessment year in which the income was first assessable. Mr Y still has opportunity to submit return under section 78 of the ITO, 1984. Notice under section 93 (1) is issued based on the information from an audit, assessment or any other proceeding, none of which took place in the case under discussion. Referring to the provisions mentioned above, Mr Y may write to the DCT to cease the effectiveness of the notice issued under section 93 (1).

Answer to the Question# 1(b) (i):

Based on the tax law updated by Finance Act 2021, there is no provision prescribed in the tax law regarding tax treatments on accumulated losses and unabsorbed depreciation losses. In the absence of any such provision, the assessee may prefer seeking guidance from the Hon'ble High Court in the form of a ruling, which may prescribe as to how tax treatments on accumulated losses and unabsorbed depreciation losses should be carried out.

Answer to the Question# 1(b) (ii):

I am of the opinion that the Financial Act 2022, as a part of the National Budget for 2022-2023, should incorporate a provision as to how tax treatments on accumulated losses and unabsorbed depreciation losses should be carried out in the case of an amalgamation scheme. Accordingly, it is suggested that in a scheme of amalgamation, the amalgamated company should have the right to carry forward the accumulated loss and the unabsorbed depreciation loss of the amalgamating company as if the loss or the unabsorbed depreciation, as the case may be, has been the accumulated loss or the unabsorbed depreciation of the amalgamated company in the income year in which the amalgamation takes place. Once such a right is given, the amalgamated company will step into the shoes of a going concern company in the income year of amalgamation, and will have the right to carry forward and set off such loss in accordance with the relevant provisions of Income Tax Ordinance, 1984. This will extend fiscal benefits to amalgamation of companies in Bangladesh.

Answer to the Question# 2(a):

Gross salary including incentive bonus per month is Tk: 500,000

Working: Salary break-up under different options

Options/Structure		**Monthly Salary**					**Annual Salary**
		Basic salary	House Rent	Conveyance	Incentive bonus	Total gross salary	
		a	b	c	d	e	f=e x 12
Option-1	Ratio	65%	25%	5%	5%	100%	
	Amount	325,000	125,000	25,000	25,000	500,000	6,000,000
Option-2	Ratio	55%	25%	10%	10%	100%	
	Amount	275,000	125,000	50,000	50,000	500,000	6,000,000
Option-3	Ratio	48%	24%	8%	20%	100%	
	Amount	240,000	120,000	40,000	100,000	500,000	6,000,000

Requirement (i):

Annual impact for the employer

Options	**Annual Impact for employer**							
	Annual Salary	PF contribution	Gratuity	Annual Perquisite	Allowable Perquisite	Excess Perquisite	Excess perquisite tax @ 22.5%	**Annual amount impacting dividend payout**
	a1	b1=a*10%x12	c1=a x 2	d1=(b+c) x 12	e1	f1=d1-e1	g1=f1 X 22.5%	h1=(a1+b1+ c1) x (1-22.5%)+g1
Option-1	6,000,000	390,000	650,000	1,800,000	550,000	1,250,000	281,250	**5,737,250**
Option-2	6,000,000	330,000	550,000	2,100,000	550,000	1,550,000	348,750	**5,680,750**
Option-3	6,000,000	288,000	480,000	1,920,000	550,000	1,370,000	308,250	**5,553,450**

Note: Basic Salary and Incentive bonus are not considered as perquisite as per perquisite definition u/s 2(45) of the Ordinance

Requirement (ii):

Annual impact for the employee (a) Take home salary and (b) Total employee benefit

Options/ Structure	**Annual Impact for employee**							
	Annual gross salary	PF deduction @ 10% of basic	Tax deduction @ 20%	**Take-home salary**	Annual gross salary	Employers' contribution in PF	Gratuity	**Total Employee benefit**
	a2	b2=b1	c2=(a2+f2) x 20%	d2	e2	f2=b2	g2=c1	h2=e2+f2+g2
Option-1	6,000,000	390,000	1,278,000	**4,332,000**	6,000,000	390,000	650,000	**7,040,000**
Option-2	6,000,000	330,000	1,266,000	**4,404,000**	6,000,000	330,000	550,000	**6,880,000**
Option-3	6,000,000	288,000	1,257,600	**4,454,400**	6,000,000	288,000	480,000	**6,768,000**

Requirement (iii):

Best option

	Options
(a) Annual impact for employer (the amount impacting lowest to dividend payout)	Option-3
(b) Annual impact for Employee: Take home salary	Option-3
(c) Overall considering Annual impact of Employer and take-home salary of employee	Option-3

Answer to the Question# 2(b):

Working note:

Particulars	Rate	at 5% WHT	at 7% WHT without adjustment	at 7% WHT after adjustment	at 4% WHT
		Amount (Tk.)	Amount (Tk.)	Amount (Tk.)	Amount (Tk.)
Supply value without VAT		100.00	100.00	102.15	100.00
Withholding Taxes (WHT)		5.00	7.00	7.15	4.00
Payment after WHT		95.00	93.00	95.00	96.00
Net profit before tax		16.67	16.67	18.82	16.67
Tax on profit	30%	5.00	5.00	5.65	5.00
Minimum tax higher between WHT and tax on profit		5.00	7.00	7.15	5.00
Net profit after tax		11.67	9.67	11.67	11.67

Note:

1) At 7% WHT, the impact on supplier is Tk. 2.00, at payment level caused by increased WHT (i.e. 7% from 5%). If we want to adjust this in the price, the amount to be adjusted should be grossed up value of this Tk. 2.00 with the WHT rate 7%, which is = 2.00 / (1-7%) = 2.15. Since there is no cost increase, profit will be increased by same Tk. 2.15

Requirement (i):

The increased price of supply value based on 7% WHT to ensure payment after WHT and after-tax profit is same under WHT @ 5% is Tk. 102.15 as shown in the above table

Requirement (ii):

There will be no change in the revised supply value, if the WHT rate is reduced to 4%. This is because, there will be change in WHT rate only, but tax liability will remain same as there is no change in the profitability.

Answer to the Question# 3(a & b):

P Limited
Computation of total income and tax liability
For the assessment year 2021-22

Amount in Taka

Particulars	**Regular business**	**B2B business**	**Imported finished goods**	**Distribution business**	**Total**
Revenue	66,376,296	1,382,840	18,437,860	5,992,305	92,189,300
% of revenue to total revenue	72.0%	1.5%	20.0%	6.5%	100.0%
A. Profit before tax	6,585,600	215,700	612,032	38,425	7,451,757
B. Less: Non-business income:					-
Dividend income	80,000	-	-	-	80,000
Profit from sale of asset (Tk. 200,000 - Tk. 110,000)	90,000	-	-	-	90,000
	170,000	-	-	-	170,000
C. Add: Expenses to be considered separately as per ITO, 1984:					
Accounting depreciation	800,000	120,000	350,000	11,500	1,281,500
Actual sample cost	1,399,680	29,160	388,800	126,360	1,944,000
Actual business promotion	1,160,000	-	-	-	1,160,000
	3,359,680	**149,160**	**738,800**	**137,860**	**4,385,500**

D. Add: Inadmissible expenses:					
Excess perquisite	266,400	5,550	74,000	24,050	370,000
Rent expenses	64,800	1,350	18,000	5,850	90,000
Donation to City Corporation	79,200	1,650	22,000	7,150	110,000
Salary payment made in cash	331,200	6,900	92,000	29,900	460,000
	741,600	**15,450**	**206,000**	**66,950**	**1,030,000**

Particulars	**Regular business (Taka)**	**B2B business (Taka)**	**Imported finished goods (Taka)**	**Distribution business (Taka)**	**Total (Taka)**
E. Less: Admissible expenses as per ITO 1984:					
Tax Depreciation	1,158,000	148,180	497,276	8,645	1,812,101
Sample cost as per IT rules (Note-1)	581,881	13,828	184,379	59,923	840,012
Promotion cost as per IT rules (Note-2)	331881	-	-	-	331,881
	2,071,763	162,008	681,655	68,568	2,983,994
F. Business profit from sale of old machine (Note-3)	70,000				70,000
G. Business income including income u/s 30B	**8,515,117**	**218,302**	**875,177**	**174,667**	**9,783,263**
H. Income from business u/s 30B section- to be taxed separately					
Disallowance of sample cost (Note-1)	817,799	15,332	204,421	66,437	1,103,988
Disallowance of promotion cost (Note-2)	828,119	-	-	-	828,119
Disallowance of rent	64,800	1,350	18,000	5,850	90,000
Disallowance of perquisite	266,400	5,550	74,000	24,050	370,000
Disallowance of salary	331,200	6,900	92,000	29,900	460,000
Total business income U/S 30B	**2,308,317**	**29,132**	**388,421**	**126,237**	**2,852,107**
I. Business income other than income u/s 30B (G-H)	6,206,800	189,170	486,756	48,430	6,931,156
J. Capital gain- exempted (Note-4)	-	-	-	-	-
K. Dividend income	100,000	-	-	-	100,000
L. Total income other than income u/s 30 B (H + I + J+K)	**8,615,117**	**218,302**	**875,177**	**174,667**	**9,883,263**
Calculation of Tax liability:					
M. Tax on Business income other than section 30B					
- Regular tax on business income (I X @22.5%)	1,396,530	42,563	109,520	10,897	
-Tax @ 0.60% on gross receipts (Revenue X 0.6%)	398,258	8,297	110,627	35,954	
-Tax deducted at source (Given)	-	148,180	497,276	8,645	
Tax liability (Regular tax or 0.6% on gross receipts or TDS-whichever is higher is Tax liability)	1,396,530	148,180	497,276	35,954	2,077,940
N. Tax on Business income u/s 30B (H X 22.5%)	519,371	6,555	87,395	28,403	641,724
O. Tax on dividend @ 20%	20,000	-	-	-	20,000
Total tax liability (M +N + O)	1,935,901	154,735	584,671	64,357	2,739,664

Notes:

Note-1. Allowable sample cost- as a cosmetic and toiletries industry

Particulars	**Regular business (Taka)**	**B2B business (Taka)**	**Imported finished goods (Taka)**	**Distribution business (Taka)**	**Total (Taka)**
Actual Sample cost	1,399,680	29,160	388,800	126,360	1,944,000
Actual Revenue	66,376,296	1,382,840	18,437,860	5,992,305	92,189,300
Sample allowed for revenue up to Taka 5 crore -1%	500,000	13,828	184,379	59,923	758,130
Sample allowed for revenue above Taka 5 crore but below Taka 10 crore-0.50%	81,881	-	-	-	81,881
Maximum allowable limit	581,881	13,828	184,379	59,923	840,012
Sample cost allowed as per IT rules (lower of actual cost and maximum allowable limit)	581,881	13,828	184,379	59,923	840,012
Disallowance of sample cost u/s 30B	**817,799**	**15,332**	**204,421**	**66,437**	**1,103,988**

Note-2 . Allowable business promotion cost		Taka
Actual Expenses		1,160,000
Maximum allowable limit- 0.5% of revenue		331,881
Disallowance of promotion cost U/S 30B		**828,119**
3. Capital gain and business income on sale of old machine:		
Selling Price of the machine	Taka	200,000
Less: Cost of the machine		150,000
Capital gain		**50,000**
Cost of the machine that was sold		150,000
Less: Written down value as per tax return		80,000
Business income		**70,000**

4. Assumed that the company applied for enjoying exemption of capital gain tax as per section 32(5) of the ITO, 1984 by investing in new packaging machine.
5. Payment made to vendors without deducting VAT is not relevant for disallowance of expense.
6. Sales on cash or credit has no relevancy on imposing tax.
7. Any disallowance under section 30 of the ITO, 1984, shall be treated as business income and such income shall be taxed at the regular rate applicable for the business.

Answer to the Question# 4(a):

Estimated Total income for the income year 2021-22

SL	Sources of Income	Total income (Taka)	
		Resident	Non-Resident
1	Income earned in country A through contractual job (Note-1)	-	-
2	Service fee earned in country B and received in Bangladesh (Note-2)	310,000	310,000
3	Dividend income paid by a Bangladeshi company outside Bangladesh (Note-3)	80,000	80,000
4	Interest on term deposit received in country B (Note-4)	20,000	-
5	Business income earned in Country B (Note-5)	25,000	-
6	Income from house property located in country B (Note-6)	30,000	-
7	Service income earned in Bangladesh (Note-7)	600,000	600,000
		1,065,000	**990,000**

Note:

1) Income earned in Country A by doing contractual job there is a foreign income. However, if the income is earned abroad by the citizen of Bangladesh and subsequently brought in Bangladesh it will not be chargeable to tax in Bangladesh. Hence, this income will not be included in the total income even if he becomes resident taxpayer as he is a Bangladeshi citizen. Here it is to be noted that income received in Bangladesh and income brought in Bangladesh are two different things. In the first case, it is chargeable to tax in Bangladesh not in the second case.
2) Income received in Bangladesh is chargeable to tax in Bangladesh. It is irrelevant whether it is earned or not in Bangladesh.
3) Any dividend paid by a Bangladeshi company outside Bangladesh is income deemed to accrue or arise in Bangladesh. Hence, this dividend income will be included in the total income of both resident and non-resident taxpayers.
4) Interest on term deposit received in country B is a foreign income as it was accrued and received abroad. Therefore, it will be included in the total income of resident taxpayer only.
5) Income earned from business in country B is a foreign income as he had directed this business while he had visit to country B. That means the business was not controlled from Bangladesh. Therefore, it will be included in the total income of resident taxpayer only.
6) Income from house property located in country B, is a foreign income. So, it will not be included in the total income of non-resident taxpayer.
7) The service income that was earned in Bangladesh is a Bangladeshi income whether it is received or not in Bangladesh. Hence, this income will be included in the total income of both resident and non-resident taxpayers.

Answer to the Question# 4(b):

Computation of incremental tax to be originated for becoming resident taxpayer:

a) Tax liability as a resident taxpayer

	First	Next	Next	Next	Total
Income level- Taka	300,000	100,000	300,000	365,000	1,065,000
Tax rate- %	0%	5%	10%	15%	
Tax- Taka	-	5,000	30,000	54,750	89,750

b) Tax liability as a non-resident Bangladeshi taxpayer

	First	Next	Next	Next	Total
Income level- Taka	300,000	100,000	300,000	290,000	990,000
Tax rate- %	0%	5%	10%	15%	
Tax- Taka	-	5,000	30,000	43,500	78,500

The incremental tax to be created if he elects to stay in Bangladesh and enjoys tax resident status is Taka 11,250 (Taka 89,750 – Taka 78,500).

Mr. Karim's incremental tax will be Taka 11,250. That means his tax liability as a resident taxpayer will be 14% higher from the tax liability that will arise if he becomes non- resident taxpayer. Hence, he should enjoy the residential status as his incremental tax for being resident is less than 20% than that of being non-resident

Answer to the Question# 4(c):

He can reduce his tax burden through tax planning. He has several options to exercise in order for reducing tax liability. Two of them could be as follows:

a) Investment credit:
   Mr. Karim can invest 25% of his total income in approved investment tools. If he does so, he will get 15% tax rebate on the investment amount as his income is not more than Taka 1,500,000. However, he will have to invest the money by 30 June 2022.

b) Tax credit under section 145 of ITO, 1984:
   If he becomes resident asseessee he may get double taxation relief against the foreign income. Since Bangladesh has no double taxation avoidance agreement with both country A and country B, he can get relief against the foreign income on which tax has been paid in those countries' u/s 145 of the ITO,1984. As per the referred section, a resident taxpayer who has paid tax in any other country with which Bangladesh does not have any DTA agreement, tax credit will be allowed as follows:
   - If the foreign tax equals the Bangladesh tax, credit is allowed for the entire foreign tax;
   - If the foreign tax is greater than the Bangladesh tax, credit is allowed for the tax which is chargeable in Bangladesh;
   - If the foreign tax is lesser than the Bangladesh tax, credit is allowed for the tax which is chargeable abroad.

For getting the credit, process must be followed as prescribed in the section 145 of the ITO, 1984.

Answer to the Question# 5(a):

As per section 145 of the Income Tax Ordinance 1984, there is a tax relief available in respect of income arising outside Bangladesh where there is no DTAA. This section empowers DCT to allow relief to an assessee in respect of any income accrued or arisen in any other country with which Bangladesh does not have DTAA. In this case Mr. X must prove that he has suffered tax on that income by way of deduction or otherwise, then the DCT may, subject to provision of tax law may deduct from the tax payable by the assessee a sum equal to tax calculated on such doubly taxed income at the average rate of tax of Bangladesh or the average rate of tax at the said country, whichever is lower. Average rate of tax means the rate arrived at by dividing the amount of tax calculated on the total income including the income earned in outside Bangladesh.

Answer to the Question# 5(b):

Cost plus method (CPM) would be the most appropriate method under this circumstance. This is because, this method is most useful where semi-finished goods are sold between related parties and when related parties operating under a long-term buy-and-supply arrangements.

Details of the Gross Profit Margin are as follows:

Particulars	BBC	ATC
	Amount (Tk.)	Amount (Tk.)
Selling price per TV monitor	14,000	15,950
Less: Manufacturing cost	(10,000)	(10,500)
Less: Cost of packaging	-	(200)
Less: Warranty charge	-	(300)
Gross Margin	4,000	4,950
Total Cost	10,000	11,000
Mark up on cost	40.00%	45.00%

Calculation of ALP for BBC and Adjustment required is as follow:

Particulars	Amount (Tk.)
Total Cost	10,000
Add: Arm's length Mark Up @45%	4,500
Adjusted Arm's Length Price	**14,500**
Selling Price to AE	14,000
Adjustment per TV monitor	500
Total Transfer Pricing adjustment for 50,000 pcs	25,000,000

Answer to the Question# 6(a):

Background information:
The company will manufacture the goods in its factory. Then it will transfer the goods to its four depots. Depots will sell the goods to the distributors who are the customers of the company. There will have separate VAT registration at factory and at each depot. As the product is VAT exempted at manufacturing stage, no VAT will be payable while delivering the goods to the depots. As the company will use depots there will be some margin/value addition at depot stage which is 10% of depots' selling price to distributors. The total margin/value addition that will create in all depots will be Taka 20mn (Taka 200mn X 10%). As the depots are registered as traders, VAT will be payable at 5% while selling goods to the distributors by the depots.

Calculation of input tax credit that can be availed if the company elects to pay VAT at 15% at depot stage:

Costs at depot stage	Total (Mn Taka)	VAT (Mn Taka)	Entitled Input tax credit (Mn Taka)	Remarks
Transportation cost	8.00	0.80	0.64	80% VAT rebate is allowed
Depot rent	4.00	0.60	-	No rebate is allowed
Electricity	2.00	0.10	0.10	100% rebate is allowed
Employee and other costs	6.00	-	-	Not input
Total	10.00	1.50	0.74	

Net VAT payable under both alternatives:

	If VAT is paid at standard rate (15%)	If VAT is paid at 5% rate as trader at depot stage
Selling price from depots excluding VAT -Mn Taka	200.00	200.00
Output VAT rate-%	15%	5%
Output VAT- Mn Taka	30.00	10.00
Less: Input VAT rebate-Mn Taka	0.74	0.00
Net VAT payable- Mn Taka	**29.26**	**10.00**

Consequence of input VAT payable against locally procured raw materials:

The product is VAT exempted at manufacturing stage. This means there is no output VAT against the supply of the product from the factory. Hence, there is no scope to take rebate against the input tax that will be payable against the locally procured raw materials. The input VAT will become the part of cost.

Answer to the Question# 6(b):

The company has planned to sell the product through depots. As a result, it has created two layers to manufacture and sell the product. As the depot operation is treated as trading activity, the benefit of tax exemption on manufacturing stage gets inverse in depots stage. Hence, the company can eliminate the layer of depots and delivers the goods directly from the factory. If it does so, it can avoid depot level VAT completely. However, VAT on transportation cost cannot be claimed as input tax credit which is very small amount compared to output VAT payable at depot stage.

Answer to the Question# 7:

Calculation of Output tax, Input tax credit, increasing adjustment and decreasing adjustment of the company for the month of June 2022 are as follows:

1. Output tax against supply

	Output Value (Taka)	VAT in Taka	Note
Revenue from standard rated tax	84,000,000	12,600,000	Note-1
Revenue from imported finished goods	9,720,000	486,000	Note- 2
Institutional sales of imported finished goods	280,000	21,000	Note- 2
Free goods distributed	325,000	48,750	Note-10
Output VAT against imported service	-	75,000	Note-12
Total	**94,325,000**	**13,230,750**	

2. Input tax credit	Input cost (Taka)	Input tax Taka	Note
Imported raw materials	42,000,000	6,300,000	Note-4
Packaging materials purchased locally	1,325,000	13,250	Note-6
Materials purchased locally	180,000	27,000	Note-7
Machinery cost	906,667	136,000	Note-8
Transportation cost	360,000	28,800	Note-11
Input VAT against imported service	500,000	75,000	Note-12
Total	**45,271,667**	**6,580,050**	

3. Increasing adjustment	Taka	Note
Input tax against materials purchased locally in cash	27,000	Note-7
VAT withheld by the company while making payment	436,000	Note-9
VAT withheld by the company while making payment of transport bill	18,000	Note-11
Adjustment for lower payment of VAT in previous period	12,600	Note-13
	493,600	

4. Decreasing adjustment	Taka	Note
Mushak 6.6 received against the supply of last month	15,000	Note-3
AT against imported raw materials	1,260,000	Note-4
AT against imported finished goods	325,000	Note-5
	1,600,000	

Notes:

Note-1. Revenue from standard rated goods and revenue from imported finished goods are related with output VAT. The VAT on standard rated revenue is 15% and the VAT on imported finished goods is 5% as being trader.

Note-2. Revenue generated by selling imported finished goods to institution is taxable at the rate of 7.5% as this revenue falls under the economic activity of procurement provider. Therefore, out of total sale of imported finished goods, Taka 280,000 will be taxed @ 7.5% and rest Taka 9,720,000 will be taxed @ 5% as being trader. VAT was withheld at source at the rate of 7.5% from Taka 280,000 but the VDS certificate was not received so far. Hence, no decreasing adjustment can be claimed in this month.

Note-3. The company received a payment of Taka 1,85,000 (net of VDS at 7.5%) from an institutional customer and a certificate in the form of Mushak 6.6 against the supply of last month. This means Taka 15,000 (Taka 185,000/92.5*7.5) will be claimed as a decreasing adjustment.

Note-4. Input tax credit against imported raw materials will be Taka 6,300,000. AT of Taka 12,60,000 will be a decreasing adjustment.

Note-5. VAT was paid as trader while selling imported finished goods. Therefore, input tax credit cannot be claimed against the VAT that was paid for imported finished goods. AT was paid Taka 3,25,000 at import stage which will be a decreasing adjustment.

Note-6. No input tax credit can be claimed against the packaging materials which was purchased from a turnover tax enlisted person.

Note-7. Raw materials purchased from local sources for Taka 1,80,000 with 15% VAT, the payment of which was made in cash. Hence input tax credit can be claimed first and then it will be treated as an increasing adjustment.

Note-8. VAT paid against machinery purchase was Taka 1,36,000. This VAT can be claimed as input tax credit. On the other hand, furniture is not an input and therefore no input tax credit can be claimed against the VAT paid at the time of purchasing furniture.

Note-9. The company has withheld VAT while making payment to its supplier for an amount of Taka 4,36,000. This is an increasing adjustment.

Note-10. VAT paid for the goods distributed among customers as free is connected to output tax at the rate of 15%.

Note-11. Transportation cost is an input and hence input tax credit can be claimed against the VAT paid for transportation cost to the extent of 80% of VAT on such expense. Assumed that VDS has been deducted @ 7.5% while making payment as per the provision of VDS. This VDS is an increasing adjustment.

Note-12. Technical fee is a taxable imported service. Hence, tax will be paid under the scheme of reverse charged.

Note-13. Tax paid lower by Taka 12,600 is an inadvertent mistake. Hence, it an increasing adjustment.

Answer to the Question# 8(a):

The company intends to purchase the material "X" of y quantity for which it has sought quotation from different vendors. Accordingly, five vendors have showed their interest to supply the material. In case of purchasing material, the company must take into consideration the compliance of VAT law in addition to other factors like price, quality etc. Since compliance of VAT law is mandatory in selecting the vendor for purchasing goods, it is wise to review the terms the vendors stated in their quotations. On this ground, my observations and recommendations against the quotation of each are successively described below:

(i) If a trader participates in any tender to supply goods, its status is changed from trader to the procurement provider as per SRO No-240-AIN/2021/163-Mushak dated 29 June 2021. If this is the case, the applicable VAT rate for procurement provider is 7.5%. Hence, the trader is liable to issue VAT challan with 7.5% VAT rate not with 5% VAT rate. Here it is to be mentioned that as a withholding authority, the company shall be liable to deduct 7.5% VAT from the bill while making payment to the supplier. Since the trader is not willing to ensure VAT compliance, the company should not accept the application.

(ii) A turnover enlisted person cannot participate in a tender as per section 4 of the VAT & SD Act, 2012. According to the provision of the referred section, VAT registration is mandatory for a person to be qualified to participate in the tender or quotation for supplying taxable goods and services irrespective of turnover. Hence, the company should not accept this quotation.

(iii) If a manufacturer of goods issue VAT challan at standard VAT rate (15%) against the supply of goods under the arrangement of tender or quotation or workorder, the purchaser of the goods cannot deduct VAT from the bill while making payment to the supplier as per SRO No-240-AIN/2021/163-Mushak dated 29 June 2021. So, in the context of VAT compliance the company can accept the quotation of this manufacturer.

(iv) When a manufacturer wants to supply the goods from the warehouse which is separately VAT registered, the status of the warehouse becomes trader. And when the warehouse being trader participates in tender it will become procurement provider. Since the warehouse will issue challan with 7.5%, it satisfies the requirement of delivering goods with right amount of VAT. But, as per the VAT law the purchaser of goods under the arrangement of tender or workorder or quotation is bound to deduct 7.5% VAT from the bill and deposit the VDS to the Government Treasury within 15 days. Since the company as a purchaser cannot perform its obligation, it should not accept the offer.

(v) Any withholding authority cannot buy goods from any unregistered person and cannot make payment too. So, the company should not accept the quotation.

Upon reviewing all the quotations under the horizon VAT compliance, the company should accept the quotation number 3 submitted by the manufacturer.

Answer to the Question# 8(b) (i):

As per the description of the given scenario, TC Limited will take over the entire business of the SP Limited. Here, SP Limited will transfer the business to the TC Limited and thereafter TC Limited will continue the business of SP Limited as going concern basis. This means that the legal existence of SP Limited will be discontinued but the business operation of the company will remain alive as previous. Since the business of SP Limited will shift from one platform to another platform, there is impact of VAT law over the business transfer process. The section 36 of the VAT & SD Act, 2012 has clearly laid down necessary provisions regarding the sale of establishment i.e. business transfer. As per section 36 (1), if a person transfers an establishment in Bangladesh as his running business in the process of an economic activity, such transfer shall be treated as a single supply and such single supply shall not be regarded as a supply made in Bangladesh and therefore this transfer will not attract any VAT liability. As per section 36(2), the purchaser of the business establishment must have the intention to keep the economic activity continue after the acquisition is taken place and must fully acquire all that is necessary for an uninterrupted management of the economic activity thus transferred. The referred section also prescribed that no person shall transfer a running business establishment without making full payment of all payable taxes and arrear due. But exception can happen if the Commissioner permits a transfer to the effect that the purchaser of the business submits an unconditional bank guarantee from a scheduled bank for full payment of all payable taxes arrear dues. Under this kind of transaction, the purchaser of the establishment shall be treated as the successor to the supplier (the seller of the establishment) and the supplier shall be bound to provide all necessary information in order to properly comply with the provisions of VAT law.

Answer to the Question# 8(b) (ii):

The procedures that need to be followed in case of sale of an establish have been laid down in the VAT & SD Rules, 2016 which are as follows:

The seller and the purchaser of any going concern shall submit continuous and unconditional bank guarantee of a schedule bank of an amount equivalent to all payable tax and arrears to the Commissioner by a joint application in form "Mushak-4.2'' 15 days before the sale of such business. If the Bank guarantee is found appropriate, the Commissioner shall approve the transaction with 7 days of the receipt of the application in this regard. It is to be noted that as per the said rules, the seller of the business must provide the following information to the purchaser of the business:

- Latest updated information about the ownership of the business;
- Complete set of financial statements;
- Statement of all properties and debts;
- Information regarding litigations;
- List of registration, license etc. of different government agencies; and
- Other related information.

Answer to the Question# 9(a):

(i) Duties Taxes to be paid under declared H.S. Code of Childcare Ltd in Tk.:	521,352	[Ref. working note 1]
(ii) Duties Taxes to be paid under H.S. Code determined by Customs Authority in Tk.:	776,232	[Ref. working note 1]

Answer to the Question# 9(b):

Claimable input VAT in Tk.	174,960	[Ref. working note 1]
Advance Tax (VAT) in Tk.	34,992	[Ref. working note 1]

(Note: Input VAT credit is allowed only to the extent it is paid)

Answer to the Question# 9(c):

Amount of bank guarantee to furnished covering the shortfall of duties and taxes:

Duties Taxes to be paid under H.S. Code determined by Customs Authority in Tk.:	776,232	[Ref. working note 1]
Less: Duties Taxes to be paid under declared H.S. Code of Childcare Ltd in Tk.:	521,352	[Ref. working note 1]
Bank guarantee amount in Tk.:	254,880	

Note-1: Determination of duties and taxes of Mango Pulp imported from Pakistan

Component	As per HS code declared by Childcare Ltd		As per HS code determined by Customs Authority	
	Rates	Amount in Tk.	Rates	Amount in Tk.
Total quantity of raw material imported in kg		**5,000**		**5,000**
Assessable value per kg in US$		10,000		10,000
For the consignment				
Assessable value in Tk @ 1 US$ = Tk. 90.00		**900,000**		**900,000**
Basic duty (SAFTA benefit under declared H.S. Code)	0	45,000	0	225,000
Regulatory duty	0	27,000	0	27,000
Supplementary duty	0	194,400	0	230,400
Value Added Tax	0	174,960	0	207,360
Advance Income Tax	0	45,000	0	45,000
Advance Tax (VAT)	0	34,992	0	41,472
Total duties and taxes		**521,352**		**776,232**

---The End---